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LOGISTICS AT SUPER FAST SPEED

Integrated networks of high-speed rail, freight corridors and waterways are set to reduce costs, improve mobility and drive regional growth

By AVISHEK G. DASTIDAR

INDUSTRY SIZE
$286 BILLION
(₹26 lakh crore)

BUDGET ALLOCATION
₹6.1 LAKH CRORE

At a time when logistics costs remain a drag on competitiveness, the budget makes its priorities unmistakable. It seeks to compress distance—economically—by building parallel high-capacity networks for passengers and freight and integrating rail, road and waterways into a unified connectivity grid. These, in the finance minister Nirmala Sitharaman's words, are the "growth connectors".

At the heart of this vision are three mega plans—seven new high-speed rail (HSR) corridors, a new East-West Dedicated Freight Corridor (DFC) and 20 more national waterways. While the budget has not specified matching allocations, sources in the know peg the combined cost at around Rs 16 lakh crore over the next few years..

The seven high-speed passenger corridors, together spanning nearly 4,000 km, are ambitious in scale, to say the least. In the North and East, the Delhi-Varanasi and Varanasi-Siliguri corridors are expected to create a new economic spine across Delhi, Uttar Pradesh, Bihar and West Bengal. The government expects this connectivity to strengthen tourism, services and trade, while drawing secondary cities along the route into faster economic circuits. In western and southern India, the emerging HSR network links Mumbai, Pune, Hyderabad, Bengaluru and Chennai, compressing travel times across India's most productive industrial and technology belt. Railways has indicated massive reduction in travel time on these lines. For instance, Delhi to Varanasi may take just about 3.5 hours from the current 8-10 hours.

Transportation accounts for nearly half of the Rs 12.2 lakh crore capex target for 2026-27. Officials say the next phase of high-speed rail development could be largely home-grown and, to that extent, cheaper. The industry is already upbeat. "This provides the desired impetus for more modernisation in manufacturing, skilling and overall community impact," says Olivier Loison, MD of rolling-stock multinational Alstom India.

Freight efficiency is being addressed through a proposed East-West Dedicated Freight Corridor from Dankuni (West Bengal) to Surat, passing via Jharkhand, Bihar, Odisha and Maharashtra. By hiving off bulk and container traffic from passenger lines, the corridor is expected to ease congestion, lower logistics costs and support faster goods movement across key industrial states. "Coal, steel, iron ore, finished steel and bulk commodities from the East will reach the ports in the West faster. There is demand. India already had plans for linking Howrah and Mumbai with a freight corridor," says Sanjiv Garg, former MD of PRCL and secretary general of The Chartered

"The budget's push for capex infra, logistics efficiency and tech-driven support reaffirms India's position as a friendly and trusted business destination"

— **KAMAL BALI,** *President and Managing Director, Volvo Group India*

